

Entrepreneurship and Start-Ups

Subject Code: 2000601 | SEM-VI Diploma

Previous Year Question Paper 2023 (Even) — With Detailed Answers

GROUP A — MCQ (1 Mark Each × 20 = 20 Marks)

Q1. Which of the following are the qualities of a successful Entrepreneur?

- (a) They are confident
- (b) They take responsibility for their action
- (c) They work hard
- (d) All the above

■ **Correct Answer: (d) All the above**

Explanation:

1. A successful entrepreneur must have all three qualities together.
2. Being confident helps in making bold decisions without fear.
3. Taking responsibility means owning both success and failure.
4. Working hard is what separates successful people from others.
5. So all options are correct — answer is (d) All the above.

Q2. A self-employed person who always tries to make business better by taking risks is called?

- (a) Skilled Man
- (b) Business Man
- (c) Entrepreneur
- (d) None

■ **Correct Answer: (c) Entrepreneur**

Explanation:

1. An Entrepreneur is someone who takes risks and starts/runs their own business.
2. They are always looking for new ideas to improve their business.
3. A Skilled Man just has technical skills but may not run a business.
4. A Business Man runs a business but may not always take risks like an entrepreneur.
5. So the correct answer is (c) Entrepreneur.

Q3. _____ is the first development bank of the country.

- (a) ICICI
- (b) IDBI
- (c) SFC
- (d) IFCI

■ **Correct Answer: (b) IDBI**

Explanation:

1. IDBI stands for Industrial Development Bank of India.
2. It was established in 1964 as the first development bank of India.

3. Its main job was to give loans to industries for development.
 4. ICICI and IFCI came later — IDBI was the FIRST.
 5. Answer: (b) IDBI
-

Q4. How long is a patent valid in India?

- (a) 10 years
- (b) 29 years
- (c) 20 years
- (d) 30 years

■ **Correct Answer: (c) 20 years**

Explanation:

1. A patent gives the inventor exclusive rights over their invention.
 2. In India, under the Patents Act 1970, a patent is valid for 20 years.
 3. This 20-year period starts from the date of filing the patent application.
 4. After 20 years, anyone can use or manufacture that invention freely.
 5. Answer: (c) 20 years
-

Q5. _____ is the type of self-employment where one runs a business to satisfy own needs.

- (a) Entrepreneurship
- (b) Entrepreneur
- (c) Business Ideas
- (d) None

■ **Correct Answer: (a) Entrepreneurship**

Explanation:

1. Entrepreneurship is the process of setting up and running a business.
 2. When a person starts a business to satisfy their own needs and earn income, it is called Entrepreneurship.
 3. An Entrepreneur is the PERSON, while Entrepreneurship is the PROCESS/ACTIVITY.
 4. Answer: (a) Entrepreneurship
-

Q6. Which is the most important external factor governing recruitments?

- (a) Supply and demand
- (b) Son of soil
- (c) Labour Market
- (d) None

■ **Correct Answer: (c) Labour Market**

Explanation:

1. Recruitment means finding and hiring the right people for a job.
2. External factors are those outside the company's control.
3. Labour Market refers to the availability of workers outside the company.
4. If skilled workers are available in the market, recruitment is easy.

5. If there is shortage of skilled workers, hiring becomes difficult and expensive.
6. Answer: (c) Labour Market
-

Q7. What can be patented under Patent Act 1970?

- (a) Playing a game
- (b) An Invention
- (c) A scheme
- (d) An aesthetic creation

■ **Correct Answer: (b) An Invention**

Explanation:

1. Under the Patents Act 1970, only a NEW INVENTION can be patented.
 2. An invention must be new, useful, and non-obvious to get a patent.
 3. A game, a scheme, or an artistic creation CANNOT be patented.
 4. Artistic works are protected by Copyright, not Patent.
 5. Answer: (b) An Invention
-

Q8. What is Risk?

- (a) Negative consequence that could occur
- (b) Negative consequence that will occur
- (c) Negative consequence that must occur
- (d) Negative consequence that shall occur

■ **Correct Answer: (a) Negative consequence that could occur**

Explanation:

1. Risk is the possibility that something bad MAY happen in the future.
 2. The key word is 'COULD' — it means it is possible but NOT certain.
 3. Options (b), (c), (d) all suggest certainty (will, must, shall) — that is not risk.
 4. Risk always involves uncertainty — it may or may not happen.
 5. Answer: (a) Negative consequence that could occur
-

Q9. Asset that can be converted into cash within a short period is?

- (a) Current Asset
- (b) Fixed Asset
- (c) Intangible Asset
- (d) Investment

■ **Correct Answer: (a) Current Asset**

Explanation:

1. Current Assets are short-term assets that can be quickly converted into cash.
 2. Examples: Cash, stock/inventory, debtors (people who owe money), bank balance.
 3. Fixed Assets are long-term assets like machinery, land, buildings — cannot be sold quickly.
 4. Intangible Assets are non-physical things like goodwill, patents — hard to convert to cash.
 5. Answer: (a) Current Asset
-

Q10. MSMED is defined under which act?

- (a) MSMED act 2006
- (b) MSMED act 2001
- (c) MSMED act 1999
- (d) MSMED act 2004

■ **Correct Answer: (a) MSMED act 2006**

Explanation:

1. MSMED stands for Micro, Small and Medium Enterprises Development.
 2. The MSMED Act was passed in the year 2006 by the Indian Parliament.
 3. This act defines what qualifies as Micro, Small, and Medium enterprises.
 4. It also provides benefits and protections to these enterprises.
 5. Answer: (a) MSMED act 2006
-

Q11. MSMED stands for?

- (a) Mini, Small & Medium Enterprises Development
- (b) Micro, Small & Medium Entrepreneurship Department
- (c) Micro, Small & Medium Enterprises Development
- (d) Micro, Small & Medium Entrepreneurship Development

■ **Correct Answer: (c) Micro, Small & Medium Enterprises Development**

Explanation:

1. MSMED = Micro, Small and Medium Enterprises Development.
 2. The word is 'MICRO' (not Mini) and 'ENTERPRISES' (not Entrepreneurship).
 3. This is a very common trick question — options look similar but differ slightly.
 4. Always remember: Micro + Enterprises + Development = MSMED.
 5. Answer: (c) Micro, Small & Medium Enterprises Development
-

Q12. Which of the following is the function of SIDBI?

- (a) Extension of seed capital
- (b) Discounting of Bill
- (c) Providing factoring services
- (d) All the above

■ **Correct Answer: (d) All the above**

Explanation:

1. SIDBI = Small Industries Development Bank of India.
 2. It was set up specifically to help small and medium businesses grow.
 3. Function 1 — Extension of Seed Capital: It gives initial money to start new small businesses.
 4. Function 2 — Discounting of Bills: It helps businesses get money against their unpaid bills.
 5. Function 3 — Providing Factoring Services: It buys unpaid invoices from businesses to give them quick cash.
 6. Since all three are correct, Answer: (d) All the above
-

Q13. Advertisement promotes?

- (a) Purchase
- (b) Production
- (c) Sales
- (d) Price

■ **Correct Answer: (c) Sales**

Explanation:

1. The main purpose of advertisement is to attract customers and increase sales.
 2. Advertisement creates awareness about a product or service.
 3. When more people know about a product, more people buy it — Sales increase.
 4. It does not directly affect production or price.
 5. Answer: (c) Sales
-

Q14. What is the main objective of the recruitment and selection process?

- (a) Recruit the right candidates
- (b) Meet the high labour turnover
- (c) To reduce the costs of recruiting
- (d) None of the above

■ **Correct Answer: (a) Recruit the right candidates**

Explanation:

1. Recruitment is the process of finding and hiring suitable people for a job.
 2. The MAIN goal is to find the RIGHT person for the RIGHT job.
 3. Placing the right candidate improves company performance and reduces future problems.
 4. Reducing costs is a secondary goal, not the main objective.
 5. Answer: (a) Recruit the right candidates
-

Q15. A company authorizes another company to temporarily access its Intellectual Property Rights — this is called?

- (a) Patent
- (b) Trade Mark
- (c) Copyright
- (d) Licensing

■ **Correct Answer: (d) Licensing**

Explanation:

1. Licensing means giving PERMISSION to another party to use your intellectual property.
 2. This permission is given for a fixed time period and usually in exchange for money (royalty).
 3. Example: McDonald's gives license to its franchise owners to use its brand and recipes.
 4. Patent is the protection of an invention. Copyright protects creative works.
 5. Answer: (d) Licensing
-

Q16. Accounting provides information on?

- (a) Cost and income for manager
- (b) Company tax liability for particular year

- (c) Financial condition of an institution
- (d) All the above

■ **Correct Answer: (d) All the above**

Explanation:

1. Accounting is the process of recording, summarizing, and reporting financial transactions.
 2. It tells managers about costs and income — helps in making business decisions.
 3. It shows how much tax the company owes the government each year.
 4. It also shows the overall financial health (condition) of the company.
 5. Since all three are correct, Answer: (d) All the above
-

Q17. Whose liability is limited to the extent of value of business assets AND private assets?

- (a) Partnership Firm
- (b) Sole Proprietorship
- (c) Co-Operative Society
- (d) HUF

■ **Correct Answer: (b) Sole Proprietorship**

Explanation:

1. In Sole Proprietorship, the owner has UNLIMITED liability.
 2. This means if the business cannot pay its debts, the owner's personal/private assets (home, savings) can also be used to pay.
 3. Both business assets AND personal assets are at risk — there is no separation.
 4. In a Private Limited Company, liability is LIMITED — personal assets are safe.
 5. Answer: (b) Sole Proprietorship
-

Q18. Angel Investor usually provides which type of financing?

- (a) Debt
- (b) Equity
- (c) Stock
- (d) None

■ **Correct Answer: (b) Equity**

Explanation:

1. Angel Investors are wealthy individuals who invest in early-stage startups.
 2. They invest their own personal money in exchange for EQUITY (ownership share) in the company.
 3. They do NOT give loans (debt) — they become part-owners of the business.
 4. The more equity they get, the more profit they share if the company grows.
 5. Answer: (b) Equity
-

Q19. A business where an individual is both the owner and conductor of business affairs is called?

- (a) Partnership
- (b) Corporation

- (c) Sole Proprietorship
- (d) None of the above

■ **Correct Answer: (c) Sole Proprietorship**

Explanation:

1. In Sole Proprietorship, ONE person is BOTH the owner and the manager.
 2. That one person takes all decisions, runs all operations, and keeps all profits.
 3. In Partnership, two or more people share ownership.
 4. In Corporation, many shareholders own the business and managers are hired separately.
 5. Answer: (c) Sole Proprietorship
-

Q20. Idea generation process of entrepreneur are?

- (a) Germination
- (b) Preparation
- (c) Incubation
- (d) All of these

■ **Correct Answer: (d) All of these**

Explanation:

1. Idea generation in entrepreneurship happens in stages.
 2. Stage 1 — Germination: The first spark of an idea appears in the mind (like a seed sprouting).
 3. Stage 2 — Preparation: The person gathers information and researches about the idea.
 4. Stage 3 — Incubation: The idea sits in the subconscious mind and develops naturally over time.
 5. All three are valid stages of idea generation.
 6. Answer: (d) All of these
-

GROUP B — Short Answer Questions (4 Marks Each)

Q2. Write down the traits of an Entrepreneur.

Definition:

A trait is a quality or characteristic that a person naturally has.

Successful entrepreneurs share some common traits that help them build and run businesses.

Key Traits:

1. Self-Confidence — An entrepreneur believes in himself and his ideas, even when others doubt him.
 2. Risk-Taking Ability — He is ready to take calculated risks and is not afraid of failure.
 3. Innovation and Creativity — He always looks for new and better ways to do things.
 4. Hard Work and Dedication — He puts in extra effort and does not give up easily.
 5. Leadership Quality — He can guide, motivate, and lead a team effectively.
 6. Decision-Making Ability — He can make quick and correct decisions under pressure.
 7. Responsibility — He takes full responsibility for both success and failure of the business.
 8. Goal-Oriented — He sets clear targets and works consistently to achieve them.
 9. Adaptability — He can adjust to changing market conditions and new challenges.
 10. Communication Skills — He can clearly express his ideas to customers, investors, and employees.
-

Q2 (OR). Note down the similarities between Entrepreneur and Manager.

Who are they?

An Entrepreneur is a person who starts and owns a business.

A Manager is a person who manages and runs the day-to-day operations of a business.

Despite their differences, they share many common qualities.

Similarities:

1. Both work towards achieving the goals and objectives of the organization.
 2. Both use resources like money, people, time, and materials efficiently.
 3. Both need strong decision-making skills to handle problems and challenges.
 4. Both must plan ahead — they decide what needs to be done and how to do it.
 5. Both lead and work with a team — they must motivate and guide people.
 6. Both are responsible for the performance and results of their organization.
 7. Both need good communication skills to coordinate with different people.
 8. Both must understand the market and the needs of customers.
-

Q3. What are the stages of Succession Planning?

What is Succession Planning?

Succession Planning is the process of identifying and preparing future leaders who can take over key positions when the current leaders retire, resign, or are no longer available.

It ensures the business continues to run smoothly even after leadership changes.

Stages of Succession Planning:

1. Identify Key Positions — First, identify which positions are most critical for the business (like CEO, Head of Finance, etc.).
 2. Assess Current Talent — Look at the existing employees and find out who has the potential to grow into leadership roles.
 3. Identify Successors — Select the most suitable candidates who can take over those key positions in the future.
 4. Develop Skills — Provide training, mentoring, and job rotation to prepare the successors for their future roles.
 5. Create a Transition Plan — Plan how and when the current leader will hand over responsibilities to the successor.
 6. Implement the Plan — When the time comes, smoothly transfer the roles and responsibilities.
 7. Monitor and Evaluate — Regularly review whether the succession plan is working and make changes if needed.
-

Q3 (OR). What is Bankruptcy? How does it work?

What is Bankruptcy?

Bankruptcy is a legal situation where a person or a business is completely unable to pay back the money they owe to others (creditors).

It gives the person/business a chance to either repay debts in a planned way or get relief from debts and start fresh.

In India, bankruptcy is handled under the Insolvency and Bankruptcy Code (IBC), 2016.

How does it work?

Step 1 — Filing: The debtor (person who owes money) or creditor (person who is owed money) files a case in the National Company Law Tribunal (NCLT).

Step 2 — Moratorium Period: Once the case is filed, the court puts a temporary stop on all legal actions against the debtor — no one can take their assets during this time.

Step 3 — Insolvency Professional Appointed: An expert (Insolvency Professional) is appointed to manage the assets and affairs of the debtor.

Step 4 — Resolution Plan: A plan is created to either restructure the business so it can repay debts, or liquidate (sell) the assets to repay creditors.

Step 5 — Approval: If creditors approve the plan, it is implemented. If not, liquidation begins.

Step 6 — Liquidation: Assets are sold, money is distributed to creditors in a fixed order of priority.

Step 7 — Closure: After all assets are sold and money distributed, the bankruptcy process ends.

Q4. Define Business Plan. Write down its elements.

Definition:

A Business Plan is a formal written document that describes what a business is, what it wants to achieve, and how it plans to achieve it.

It acts like a roadmap that guides the entrepreneur from the starting stage to the growth stage.

It is also used to present the business idea to investors and banks to get funding.

Elements of a Business Plan:

1. Executive Summary — A short overview of the entire plan. It includes the business name, mission, product/service, and financial goals.

2. Business Description — Explains what the business does, what problem it solves, and why it is unique.
 3. Market Analysis — Describes the target market, customer profile, and competition in the market.
 4. Organization Structure — Explains who runs the business, what departments exist, and how the team is organized.
 5. Products and Services — Detailed description of what the company sells or offers.
 6. Marketing Plan — Explains how the business will attract and retain customers (advertising, pricing, promotion).
 7. Financial Plan — Includes expected income, expenses, profit, and how much funding is needed.
 8. Risk Analysis — Identifies possible challenges and risks and explains how they will be handled.
-

Q4 (OR). Explain Activity Map.

What is an Activity Map?

An Activity Map is a visual diagram that shows how all the key activities of a business are connected to each other and contribute to creating value for the customer.

It helps understand how a business works as a system — where every part supports the other.

It is used in strategic planning to show the competitive advantage of a business.

Components of an Activity Map:

1. Core Value Proposition — The main benefit or value that the business offers to its customers (e.g., fast delivery, low price, high quality).
2. Key Activities — The most important tasks the business does to deliver that value (e.g., manufacturing, delivery, customer service).
3. Key Resources — What the business needs to perform those activities (e.g., money, people, technology, raw material).
4. Key Partners — External companies or people who help the business (e.g., suppliers, delivery partners).
5. Links Between Activities — Arrows or lines that show how each activity supports and connects with others.

Example:

For Zomato:

- Core Value: Fast and convenient food delivery
 - Key Activities: App development, restaurant onboarding, delivery management
 - Key Resources: Delivery fleet, technology platform, restaurant database
 - Key Partners: Restaurants, payment gateways, delivery agents
-

Q5. How are Business Ideas generated?

What is a Business Idea?

A Business Idea is a concept or thought that can be turned into a profitable business.

Good business ideas usually solve a real problem or fulfill an unfulfilled need in the market.

Ways to Generate Business Ideas:

1. Personal Experience and Problems — Look at problems you face in daily life. If you need a solution, others might need it too. Example: Ola was started because the founder could not find a

taxi.

2. Market Research — Study the market to find out what products or services are missing or insufficient. Talk to customers and understand their needs.
 3. Brainstorming — Sit with a group and freely share ideas without judging. The goal is to generate as many ideas as possible, then shortlist the best ones.
 4. Observation — Carefully observe how people live, work, and shop. Notice what frustrates them or what they spend time or money on.
 5. Following Trends — Keep up with new trends in technology, lifestyle, and society. A new trend often creates new business opportunities (e.g., electric vehicles, AI tools).
 6. Copying and Improving — Look at an existing product or service and think about how it can be improved or made more affordable.
 7. Reading and Research — Read books, news articles, and industry reports. New information often triggers new ideas.
-

Q5 (OR). What is Risk Analysis in Business?

What is Risk Analysis?

Risk Analysis is the process of identifying, assessing, and finding ways to reduce or manage potential risks that could harm a business.

Every business faces uncertainty — Risk Analysis helps prepare for the worst while hoping for the best.

Steps of Risk Analysis:

1. Identify the Risks — Find out all possible things that can go wrong in the business (financial loss, market failure, legal issues, etc.).
2. Assess the Risks — Evaluate how likely each risk is to happen and how severe the damage would be if it does happen.
3. Prioritize the Risks — Focus on the most dangerous and most likely risks first.
4. Develop Risk Response — Create a plan to reduce or avoid each risk. This could be getting insurance, creating backup plans, or changing business strategies.
5. Monitor and Review — Continuously watch for new risks and check if the current risk management plan is effective.

Types of Risks in Business:

1. Financial Risk — Loss of money due to poor sales, bad debts, or economic recession.
 2. Market Risk — Changes in customer demand, competition, or market trends.
 3. Operational Risk — Problems in day-to-day operations like machinery failure or employee issues.
 4. Legal Risk — Risk of violating laws, facing lawsuits, or regulatory penalties.
 5. Reputational Risk — Damage to the brand image due to customer complaints or controversies.
-

Q6. Define Business. Explain different types of Business Structure.

Definition of Business:

A Business is any economic activity that involves the production, buying, or selling of goods and services with the main aim of earning profit.

Example: A shop selling clothes, a restaurant, a software company — all are businesses.

Types of Business Structures:

1. Sole Proprietorship

- Owned and managed by a single person.
- Simplest and most common form of business.
- The owner has full control and gets all profits.
- Disadvantage: Unlimited liability — personal assets are at risk.
- Example: A local grocery shop.

2. Partnership Firm

- Two or more people come together to run a business.
- They share profits, losses, and responsibilities as per the agreement.
- Advantage: More capital and shared workload.
- Disadvantage: Disagreements between partners can cause problems.
- Example: A law firm with two lawyers as partners.

3. Private Limited Company (Pvt. Ltd.)

- A separate legal entity from its owners (shareholders).
- Owners have Limited Liability — personal assets are safe.
- Shares cannot be sold publicly.
- Example: Most startups and medium businesses.

4. Public Limited Company (Ltd.)

- Shares are traded publicly on the stock market.
- Can raise large amounts of money from the public.
- Subject to more government regulations.
- Example: Tata Motors Ltd., Infosys Ltd.

5. Co-operative Society

- Formed by a group of people with a common goal (usually farmers, workers).
- Owned and managed democratically by its members.
- Example: Amul (Gujarat Cooperative Milk Marketing Federation).

6. Hindu Undivided Family (HUF)

- A business run by a Hindu family together.
- The senior member (Karta) manages the business.
- Provides certain tax benefits under Indian law.

Q6 (OR). What questions help to identify target market?

What is a Target Market?

A Target Market is a specific group of people whom a business wants to sell its product or service to.

Identifying the right target market is essential to use resources effectively and make sales.

Key Questions to Identify Target Market:

1. WHO are my customers? — Define the age, gender, income level, education, and occupation of your potential customers.
2. WHAT do they need? — Understand what problem your product solves for them or what desire it fulfills.
3. WHERE are they located? — Find out whether your customers are local, national, or global, and whether they shop online or offline.
4. WHY would they buy from me? — Identify your competitive advantage — what makes your product better than others.

5. WHEN do they buy? — Understand the buying pattern — is it seasonal, daily, or occasional?
6. HOW MUCH can they spend? — Know the income level and price sensitivity of your target customers.
7. WHAT are their interests and lifestyle? — Understand hobbies, preferences, and values to create better marketing messages.
8. HOW do they prefer to buy? — Online, in a store, through an agent, or subscription-based?

Example:

If you are selling a budget gaming laptop:

- WHO: College students aged 18-25
 - WHAT: Affordable, high-performance laptop for gaming and studying
 - WHERE: Online (Flipkart, Amazon) and near colleges
 - HOW MUCH: Budget under Rs. 60,000
-

GROUP C — Long Answer Questions (6 Marks Each)

Q7. Write down the similarities AND differences between Entrepreneur and Manager.

Similarities:

1. Both work towards achieving the goals and objectives of the organization.
2. Both manage resources such as people, money, time, and materials.
3. Both need strong planning and decision-making skills.
4. Both lead and coordinate with a team to get work done.
5. Both are responsible for the performance and results of the business.
6. Both need good communication skills to work with people at all levels.

Differences:

1. Role:
 - Entrepreneur: Creates and starts a new business from scratch.
 - Manager: Manages and runs an already existing business or department.
2. Motivation:
 - Entrepreneur: Motivated by passion, profit, and the desire to build something new.
 - Manager: Motivated primarily by salary and career growth.
3. Risk:
 - Entrepreneur: Bears personal financial risk — invests own money.
 - Manager: Takes professional risk but not personal financial risk.
4. Ownership:
 - Entrepreneur: Is the owner of the business.
 - Manager: Is an employee — does not own the business.
5. Focus:
 - Entrepreneur: Focuses on finding opportunities and creating value.
 - Manager: Focuses on maintaining efficiency and achieving targets.
6. Reward:
 - Entrepreneur: Earns profit (or bears loss) based on business performance.
 - Manager: Earns a fixed salary regardless of business profit or loss.
7. Innovation:
 - Entrepreneur: Constantly innovates and introduces new ideas.
 - Manager: Follows existing systems and processes.
8. Decision Making:
 - Entrepreneur: Makes decisions with high uncertainty and little information.
 - Manager: Makes decisions within a structured and defined framework.

Q7 (OR). What is the meaning of Investor Pitch? What do investors ask in a pitch?

What is an Investor Pitch?

An Investor Pitch is a short presentation given by an entrepreneur to potential investors to convince them to invest money in their business.

The entrepreneur explains their business idea, market opportunity, revenue model, and how the investor's money will be used.

The goal is to get the investor interested enough to invest money in exchange for equity or other returns.

Example: The TV show 'Shark Tank' shows entrepreneurs giving investor pitches to wealthy investors.

What should a good pitch include?

1. Problem — Clearly explain what problem exists in the market that your business solves.
2. Solution — Describe your product or service and how it solves the problem.
3. Target Market — Define who your customers are and how large the market is.
4. Business Model — Explain how the business makes money (revenue streams).
5. Traction — Share any early results — sales made, customers acquired, partnerships formed.
6. Team — Introduce your team and their relevant experience and skills.
7. Financial Projections — Show expected revenue, costs, and profit over the next 3-5 years.
8. The Ask — Clearly state how much money you need and what percentage of equity you are offering.

Common Questions Investors Ask:

1. What is your Unique Selling Point (USP)? How are you different from competitors?
2. How big is your target market? How much of it can you capture?
3. What is your revenue model? How exactly will you make money?
4. What is your current traction — any sales, users, or partnerships yet?
5. What percentage of equity are you offering in exchange for investment?
6. What will you use the investment money for?
7. When do you expect to reach the break-even point (when income equals expenses)?
8. What are the biggest risks your business faces and how will you handle them?

Q8. What is the meaning of Business Idea? Discuss techniques of generating Business Ideas.

What is a Business Idea?

A Business Idea is a concept, thought, or plan that has the potential to be turned into a profitable business.

A good business idea solves a real problem, meets an unfulfilled need, or improves on an existing product or service.

Example: The idea of delivering food to homes became Zomato and Swiggy.

Techniques of Generating Business Ideas:

1. Brainstorming
 - A group of people freely share as many ideas as possible without judging or criticizing.
 - After generating many ideas, the best and most practical ones are shortlisted.
 - Quantity is preferred over quality in the beginning.
2. Mind Mapping
 - Write a central theme or problem in the middle of a page.
 - Draw branches for related ideas, sub-ideas, and connections.
 - This visual method helps organize thoughts and discover new connections.
3. SWOT Analysis
 - Analyze your Strengths, Weaknesses, Opportunities, and Threats.
 - Combine your strengths with market opportunities to generate strong business ideas.

4. Market Research and Gap Analysis

- Study the market to find what products or services are missing or unsatisfactory.
- Filling those gaps with a better solution becomes your business idea.

5. Reverse Brainstorming

- Instead of asking 'How can we solve this problem?', ask 'How can we make this problem worse?'
- Then reverse those answers to find real solutions.

6. Trend Analysis

- Follow current trends in technology, health, environment, and lifestyle.
- Emerging trends create new market needs and business opportunities.
- Example: Rising interest in EVs → Business idea: EV charging stations.

7. Customer Feedback and Observation

- Spend time with potential customers and observe their daily challenges.
- Ask them what frustrates them or what they wish existed.
- Real customer pain points are the best source of genuine business ideas.

8. Copying and Innovating

- Look at a successful business model in another country or city.
- Adapt and improve it for your local market.
- Example: Flipkart was inspired by Amazon's e-commerce model.

Q8 (OR). What is Patent? What is the purpose of Patent?

What is a Patent?

A Patent is a legal right granted by the government to an inventor that gives them the exclusive right to make, use, and sell their invention for a fixed period of time.

In India, a patent is valid for 20 years from the date of filing, under the Patents Act, 1970.

No one else can copy, manufacture, or sell the patented invention without the owner's permission.

Example: A pharmaceutical company patents its newly developed medicine so no other company can copy it.

What can be Patented?

1. A new and useful invention or product.
2. A new and useful process or method of manufacturing.
3. A new and useful improvement on an existing invention.

Note: Abstract ideas, mathematical theories, artistic works, and business methods CANNOT be patented.

Purpose / Importance of Patent:

1. Legal Protection — Prevents others from copying or stealing the inventor's idea without permission.
2. Exclusive Rights — The inventor has the sole right to manufacture, sell, or use the invention for 20 years.
3. Commercial Benefit — The inventor can earn money by licensing (giving permission to use) the patent to others in exchange for royalty payments.
4. Encourages Innovation — Knowing that their ideas are protected, inventors and researchers are motivated to keep creating new things.
5. Competitive Advantage — A company with patents has an edge over competitors who cannot use the same technology.

6. Attracts Investment — Investors trust companies that hold patents, as it shows the company has unique and protected technology.

7. Contributes to Knowledge — After 20 years, the patent becomes public knowledge, and everyone can learn from it and build upon it.

Q9. Write Short Notes on: (1) Angel Investor (2) Venture Capital

1. Angel Investor

Definition: An Angel Investor is a wealthy individual who invests their own personal money into an early-stage startup or new business in exchange for equity (ownership share).

They are usually the first outside investors in a startup — before any formal funding.

Key Features:

- They invest their own money — not a company's or fund's money.
- They invest in very early stages when the business is just an idea or just starting.
- In return, they take an equity stake (ownership share) in the company.
- They often provide mentorship, industry connections, and business advice along with money.
- Investment amount: Usually between Rs. 25 lakhs to Rs. 5 crores.
- They take high risk because the startup may fail.

Advantages for Startup:

- Early funding when banks and VCs refuse.
- Business guidance and networking from experienced individuals.

Example: The investors ('Sharks') on Shark Tank India are Angel Investors.

2. Venture Capital (VC)

Definition: Venture Capital is a type of financing provided by professional investment firms (Venture Capital Firms) to startups and small businesses that have high growth potential.

A VC firm pools money from many investors and then invests that pooled money into selected startups.

Key Features:

- It is given by a firm or fund — not an individual.
- VC typically invests in startups that are slightly more developed than angel-stage.
- In return, they take equity and often a seat on the Board of Directors.
- Investment amount: Usually Rs. 5 crores to hundreds of crores.
- They have a team of analysts who carefully evaluate each startup before investing.
- They plan to exit after a few years through an IPO or acquisition and earn large returns.

Advantages for Startup:

- Large amount of funding for growth and expansion.
- Professional guidance and strategic support.

Examples of VC Firms in India: Sequoia Capital, Accel Partners, Nexus Venture Partners.

Key Difference between Angel Investor and VC:

- Angel = Wealthy individual investing personal money in very early stage.
- VC = Professional firm investing pooled money in growth-stage startups.

Q9 (OR). What are the key elements of Organizational Structure?

What is Organizational Structure?

Organizational Structure is the system that defines how activities such as task allocation, coordination, and supervision are directed in an organization.

It determines who reports to whom, how decisions are made, and how work is divided.

Key Elements:

1. Work Specialization (Division of Labour)

- Tasks are divided into specific roles so each employee focuses on one type of work.
- This improves efficiency and expertise.
- Example: One person handles accounts, another handles marketing.

2. Departmentalization

- Similar activities are grouped into departments.
- Example: HR Department, Finance Department, IT Department.
- Makes management easier and more focused.

3. Chain of Command

- Defines who has authority and who reports to whom.
- Creates a clear line from top management to bottom-level employees.
- Example: CEO → Manager → Team Leader → Employee.

4. Span of Control

- Defines how many employees one manager can effectively supervise.
- Narrow span: Few people under one manager (more control).
- Wide span: Many people under one manager (less control but flatter structure).

5. Centralization vs Decentralization

- Centralized: All major decisions are made at the top level.
- Decentralized: Decision-making power is distributed to middle and lower levels.
- Most modern companies use a mix of both.

6. Formalization

- Refers to the degree to which rules, procedures, and guidelines are defined.
- High formalization: Government offices (strict rules).
- Low formalization: Startups (flexible and informal).

7. Coordination

- Ensures all departments and individuals work together towards the common goal.
- Achieved through meetings, reporting systems, and communication tools.

Q10. What is Financial Management? Write down its objectives.

What is Financial Management?

Financial Management is the process of planning, organizing, controlling, and monitoring the financial resources of a business to achieve its goals.

In simple words, it is about managing money — how it comes in, how it is spent, and how it is saved or invested.

It involves making decisions about where to get money from and where to invest it for maximum benefit.

Objectives of Financial Management:

1. Profit Maximization

- The most basic objective is to maximize the profit earned by the business.
- This means increasing revenue and reducing unnecessary costs.

2. Wealth Maximization

- A broader objective that focuses on increasing the long-term value of the business for its shareholders.
 - More important than short-term profit because it ensures sustainable growth.
 - 3. Ensuring Proper Utilization of Funds
 - Money should be invested in the right places to get maximum returns.
 - Idle or wasted funds must be minimized.
 - 4. Maintaining Liquidity
 - The business must always have enough cash to pay its short-term bills and expenses.
 - A company can be profitable but still fail if it runs out of cash.
 - 5. Optimal Capital Structure
 - Maintaining the right balance between borrowed money (debt) and owner's money (equity).
 - Too much debt increases financial risk.
 - 6. Risk Management
 - Identifying financial risks (like bad debts, currency fluctuations) and taking steps to reduce them.
 - 7. Cost Control
 - Keeping track of all expenses and eliminating wasteful spending.
 - This improves profitability without increasing sales.
 - 8. Investor Satisfaction
 - Ensuring that shareholders get a good return on their investment through dividends and business growth.
-

Q10 (OR). What are the functions of Financial Management in an Organization?

Functions of Financial Management:

1. Financial Planning
 - Estimating how much money the business will need in the future.
 - Creating budgets and financial goals for a specific period.
 - Ensures the business does not run out of money unexpectedly.
2. Capital Budgeting (Investment Decision)
 - Deciding where to invest long-term funds — new machinery, expansion, new projects.
 - Evaluating whether an investment will give good returns in the future.
3. Capital Structure Decision (Financing Decision)
 - Deciding the best mix of debt (loans) and equity (shareholder funds) to finance the business.
 - The goal is to minimize cost and maximize financial stability.
4. Working Capital Management
 - Managing the day-to-day finances — cash, inventory, debtors, and creditors.
 - Ensures the business can meet its daily operational expenses without disruption.
5. Dividend Decision
 - Deciding how much profit to distribute to shareholders as dividends.
 - And how much to retain in the business for future growth.
6. Financial Reporting and Control
 - Preparing financial statements like Profit & Loss Account, Balance Sheet, and Cash Flow Statement.
 - These reports help management understand the financial position of the business.
7. Risk Management

→ Identifying financial risks (market risk, credit risk, operational risk) and finding ways to reduce them.

→ This could include taking insurance, diversifying investments, or creating emergency funds.

8. Cost Control and Cost Reduction

→ Continuously monitoring expenses and finding ways to reduce costs without affecting quality.

→ Improves profitability and competitive advantage.

Q11. What exit strategies are available to Entrepreneurs? Explain any two in detail.

What is an Exit Strategy?

An Exit Strategy is a plan made by an entrepreneur to sell their ownership in a business or to leave the business in an organized way.

Entrepreneurs plan an exit to either cash in on their investment, retire, move to a new venture, or when the business is struggling.

Types of Exit Strategies:

1. Initial Public Offering (IPO)
2. Acquisition (Selling to another company)
3. Merger
4. Management Buyout (MBO)
5. Liquidation
6. Succession Planning (Passing to family)
7. Bankruptcy

Detailed Explanation of Two Strategies:

STRATEGY 1: Acquisition

→ What it means: A larger company buys your entire business for an agreed price.

→ How it works: A big company approaches the entrepreneur, negotiates a price, and takes over ownership of the business.

→ Advantage: The entrepreneur receives a large amount of money in one go and is free from business responsibilities.

→ Advantage: Employees usually retain their jobs under the new owner.

→ Disadvantage: The entrepreneur loses complete control over the business they built.

→ Disadvantage: The company culture or direction may change completely under new ownership.

→ Example: Facebook acquired Instagram for \$1 billion in 2012.

STRATEGY 2: Initial Public Offering (IPO)

→ What it means: The company offers its shares to the general public for the first time through the stock market.

→ How it works: The company lists on a stock exchange (like BSE or NSE), and people can buy shares.

→ Advantage: The company raises a large amount of capital from the public.

→ Advantage: It increases the company's visibility, credibility, and brand value.

→ Disadvantage: The process is very complex, expensive, and takes a long time.

→ Disadvantage: The entrepreneur must share control and decision-making power with shareholders.

→ Disadvantage: The company becomes subject to strict government regulations and public scrutiny.

→ Example: Zomato went public through an IPO in 2021 and raised over Rs. 9,375 crores.

Q11 (OR). Write Short Notes on: (1) Self Funding (2) Crowd Funding

1. Self Funding (Bootstrapping)

Definition: Self Funding means using your own personal money or resources to start and run a business, without taking any external investment or loans.

It is also called 'Bootstrapping' — building a business from nothing using personal savings.

Sources of Self Funding:

- Personal savings
- Money borrowed from family or friends
- Selling personal assets (like a car or property)

Advantages:

- Full Control: Since no investor is involved, the entrepreneur keeps 100% ownership and makes all decisions independently.
- No Debt: There is no loan to repay, so no financial pressure from banks.
- No Equity Given: The entrepreneur does not have to share profits with investors.
- Encourages Discipline: Since money is limited, the entrepreneur is careful and efficient with every rupee spent.

Disadvantages:

- Limited Funds: There is only so much personal money available, which limits how fast the business can grow.
- High Personal Risk: If the business fails, the entrepreneur loses their own savings.
- Slower Growth: Without external investment, scaling up the business takes longer.

Best For: Very early-stage startups, small businesses, and entrepreneurs who want full control.

2. Crowd Funding

Definition: Crowd Funding is a method of raising money for a business or project by collecting small amounts of money from a large number of people, usually through the internet.

Instead of going to one big investor, you go to thousands of small contributors.

Popular Platforms: Kickstarter, Indiegogo (Global); Ketto, Fuel a Dream (India).

Types of Crowd Funding:

- Reward-Based: Contributors give money and receive a product or reward in return (no equity).
- Equity-Based: Contributors give money and receive a small ownership share in the company.
- Donation-Based: People donate money without expecting anything in return (used for social causes).
- Debt-Based: Contributors lend money which must be repaid with interest.

Advantages:

- Raises money without giving up large equity or taking large loans.
- Acts as a marketing tool — creates public awareness and interest in the product.
- Validates the business idea — if people are willing to fund it, there is market demand.
- Builds a community of early supporters and future customers.

Disadvantages:

- Success is not guaranteed — if the funding target is not met, money may have to be returned.
- Requires significant marketing effort to attract enough contributors.
- Exposes the business idea publicly — competitors can see and copy the idea.

Example: Many tech gadgets, films, and social projects around the world have been successfully funded through crowd funding platforms.

QUICK REVISION — MCQ ANSWER KEY

Q.No	Answer	Q.No	Answer
Q1	d) All the above	Q11	c) Micro, Small & Medium Enterprises Dev.
Q2	c) Entrepreneur	Q12	d) All the above
Q3	b) IDBI	Q13	c) Sales
Q4	c) 20 years	Q14	a) Recruit right candidates
Q5	a) Entrepreneurship	Q15	d) Licensing
Q6	c) Labour Market	Q16	d) All the above
Q7	b) An Invention	Q17	b) Sole Proprietorship
Q8	a) Negative consequence that could occur	Q18	b) Equity
Q9	a) Current Asset	Q19	c) Sole Proprietorship
Q10	a) MSMED act 2006	Q20	d) All of these

All the best Raval! You can do it — one question at a time!